The Morning Brief

MARCH 25, 2026

Cautious Relief

Trump's five-day pause triggers the first broad rally since the war began, but oil's overnight bounce suggests the market is pricing hope, not resolution.

S&P 500	BRENT CRUDE	BITCOIN	GOLD	FEAR & GREED
6,581 ↑1.15%	~$101 ↓10%	$70,600 ↑3.8%	$4,418 ↓2.3% · 10th decline	11 · Extreme Fear

SECTION 01

Markets

RELIEF RALLY ARRIVES — BUT OIL'S OVERNIGHT BOUNCE IS THE TELL

Monday delivered the first broad-based rally since the war began. The S&P 500 rose 1.15% to 6,581, the Dow gained 1.38%, and the Russell 2000 led at +2.16%—a small-cap risk-on bid that suggests short covering and cyclical rotation rather than a fundamental repricing. Consumer discretionary topped sectors at +2.21%, while healthcare (–0.39%) and staples (–0.14%) were the only sectors in the red. UVXY fell 7.80% as volatility compressed. TLT rose 0.65%, with the 10-year yield easing to approximately 4.34%. The catalyst: Trump's announcement that he was postponing power plant strikes for five days, citing "productive talks" with Iran. The overnight session, however, tempers the optimism. S&P futures are trading roughly flat, while Brent crude has already bounced 3% to approximately $103 in Asian trading. The market is pricing a pause in escalation, not a resolution.

OIL POSTS ITS SHARPEST DROP SINCE THE WAR BEGAN

Brent crude fell approximately 10% to roughly $101—its largest single-session decline since the conflict started on February 28. WTI dropped below $90. The physical-paper divergence that dominated the past two weeks compressed significantly in one session, though physical premiums for cargoes in transit reportedly remain elevated. Goldman Sachs raised its recession probability to 30% on Monday, up from 25%, noting that even in a de-escalation scenario, elevated oil prices could subtract 0.4% from global GDP growth and add roughly 1% to global headline inflation. The EIA forecasts Brent remaining above $95 for the next two months before falling toward $80 in Q3 if Hormuz flows gradually resume. VLO fell 1.03% despite the broader rally—refiners may be pricing in crack spread normalization if the supply disruption eases. CVX (+1.73%) and OKE (+0.80%) held, suggesting integrated energy and midstream exposure continue to provide portfolio resilience through the commodity volatility. The overnight bounce in oil is the signal that the market is not yet convinced the disruption is ending.

GOLD'S EXTENDED DECLINE — NOW 21% BELOW JANUARY PEAK

Gold fell 2.3% to approximately $4,418, extending its losing streak to what some sources characterize as the longest since January. The metal is now roughly 21% below its January 29 all-time high near $5,595. Dollar strength, forced margin liquidation, and the mechanical unwinding of war-premium trades continue to weigh. Overnight, gold slipped further toward $4,340—suggesting the selling pressure has not fully exhausted. Yet IOWN's gold miners diverged sharply from the metal on Monday: AEM rose 2.74% and GFI surged 4.66%. When miners rally while the underlying commodity declines, it historically tends to signal that the market is beginning to anticipate a floor. J.P. Morgan's Q4 target and Goldman Sachs's year-end forecast both remain well above current spot levels.

DIGITAL ASSET SLEEVE POSTS STRONGEST SESSION IN WEEKS

The digital asset sleeve led IOWN's performance on Monday. HUT surged 11.55%, MARA gained 5.32%, COIN rose 1.58%, and HOOD added 2.26%. Bitcoin recovered to approximately $70,600 from its weekend low near $68,000, as the de-escalation narrative reduced the cross-asset liquidation pressure that had been weighing on crypto alongside equities and gold. IBIT gained 0.70% and ETHA added 1.12%. The medium-term regulatory backdrop remains constructive following the March 18 SEC-CFTC joint interpretation. The sleeve is sized for this volatility, and a sustained diplomatic opening could provide further tailwind.

S&P 500	**6,581 · ↑1.15% · Russell 2K led at +2.16%**
BRENT CRUDE	**~$101 · ↓10% on session · Overnight bounce to ~$103**
GOLD	**$4,418 · ↓2.3% · Slipping toward $4,340 overnight**
BITCOIN	**~$70,600 · Recovered from $68K weekend low**
10Y TREASURY	**~4.34% · Eased modestly on the session**
FEAR & GREED	**11 · Extreme Fear**

Monday's rally was driven by what Trump said, not by what Iran did. Until the strikes stop and Hormuz transit resumes in a meaningful way, the underlying risk profile has not changed—only the market's willingness to price hope has. Oil's 3% overnight bounce is the market's own hedge against that hope being misplaced. Think Like an Owner—we evaluate the five-day window with clear eyes, not optimistic ones.

SECTION 02

Geopolitics

TRUMP BACKS DOWN — FIVE-DAY WINDOW REPLACES 48-HOUR ULTIMATUM

The ultimatum that dominated Monday's pre-market setup expired without action. Hours before the deadline, Trump announced a five-day pause on power plant strikes, claiming "very good and productive" conversations with Iran and "major points of agreement." Iran's Foreign Ministry denied any dialogue with Washington. However, a senior Iranian Foreign Ministry official subsequently told CBS News that Tehran had received "points from the U.S. through mediators" that were being reviewed. The contradiction between the two accounts is itself informative: the U.S. appears to need the optics of diplomatic progress to justify the delay, while Iran cannot be seen domestically as capitulating. Meetings over the past 24 hours have brought together Turkey's Foreign Minister Fidan, Iran's Araghchi, and U.S. special envoy Witkoff, alongside parallel discussions involving Ankara, Riyadh, Doha, Oman, Pakistan, and Egypt. China's envoy to the region stated that Beijing would continue mediating. Trump's stated objectives—halting uranium enrichment and removing enriched uranium—represent maximalist positions that Tehran has historically rejected.

STRIKES CONTINUE UNABATED DESPITE TALK OF TALKS

The diplomatic rhetoric runs parallel to continued military escalation on multiple fronts. Israel struck targets in central Tehran on Monday, describing operations in the "heart of Iran." U.S. Central Command reports more than 9,000 Iranian targets hit, over 140 naval vessels destroyed, and upward of 9,000 combat flights since February 28. The conflict's regional spread widened further: Saudi Arabia reported two ballistic missiles launched toward Riyadh, one intercepted and one landing in an uninhabited area. The UAE intercepted a missile targeting Abu Dhabi. The Lebanese Health Ministry reports Israeli strikes in Lebanon have killed at least 1,039 people since March 2. Iran's military adviser to the supreme leader stated the war would continue until Iran receives full compensation for all damage sustained—a condition that is functionally a rejection of any near-term ceasefire framework. The gap between diplomatic signals and battlefield reality remains as wide as it has been at any point in this conflict.

THE FIVE-DAY CLOCK — WHAT MARKETS ARE PRICING AND WHAT COULD BREAK

The pause creates a diplomatic window through approximately Saturday, March 29. If mediators can produce even a preliminary framework—perhaps formalizing Hormuz transit rights for non-combatant nations, which Iran has already been permitting selectively—the relief trade could extend, with oil potentially retracing further and equities testing above Monday's close. If the five days expire without substantive progress, the power plant strike threat returns and the market would likely give back Monday's gains. The scenario tree is not binary but graduated: partial progress would sustain moderate risk-on positioning, total breakdown would accelerate the war premium, and a genuine ceasefire framework would trigger a much larger relief move across asset classes. For IOWN, the portfolio remains positioned through the range of outcomes: energy infrastructure for sustained disruption, defense for escalation, and the broader growth and dividend sleeves for an eventual normalization that could still be weeks or months away.

TRUMP 5-DAY PAUSE	**Through ~Sat Mar 29 · Power plants off limits**
IRAN RESPONSE	**Denies talks · Admits receiving "points through mediators"**
MEDIATORS ACTIVE	**Turkey, Egypt, Pakistan, Oman, China, Qatar**
STRIKES ONGOING	**Israel hitting Tehran · 9,000+ US targets since Feb 28**
REGIONAL ESCALATION	**Missiles toward Riyadh & Abu Dhabi · 1,039 killed in Lebanon**

SECTION 03

On Our Radar

1. Oil's overnight bounce is today's key signal. Brent rebounded approximately 3% to $103 in Asian trading after Monday's 10% crash. If oil continues climbing through the US session, it would suggest the market views the five-day pause as temporary rather than a credible path to resolution. If Brent holds below $105, the relief trade may have room to extend through mid-week. IOWN's energy sleeve (CVX, VLO, OKE) remains appropriately positioned for either path. Think Like an Owner—the energy thesis was built for this volatility, not around it.

2. Flash PMIs arrive today—the first hard economic data reflecting wartime conditions. Eurozone and UK flash readings are due this morning; US flash PMIs arrive Wednesday. France's factory PMI is expected to slip below 50, signaling contraction. If the US services reading contracts below 50 on Wednesday, the stagflation narrative would intensify and the Fed's path becomes even more constrained. The March dot plot projects only one to two cuts this year, with PCE inflation revised up to 2.7%. Rate-sensitive holdings—NEE, BKH, ATO—could face renewed pressure if the data confirms economic damage from the energy shock. Research Reveals Opportunities.

3. KB Home reports Q1 earnings after close today—a direct read for TOL positioning. Analysts expect a 65% EPS decline amid elevated mortgage rates and affordability headwinds. TOL rallied 4.53% on Monday, among the strongest in the IOWN portfolio. If KBH confirms that Q1 represents the margin trough and signals improvement through the fiscal year, the housing thesis could strengthen. The 10-year yield easing to 4.34% offers a modest tailwind, though the Fed's hawkish posture limits how much rate relief homebuilders can price in.

4. Tesla's $25B Terafab announcement lifted chip equipment names Monday. LRCX rose 2.17%, TSM gained 2.80%, and KEYS surged 4.12%. The joint venture between Tesla, SpaceX, and xAI to build an advanced 2-nanometer semiconductor fab in Austin signals growing private-sector demand for domestic chip manufacturing. Execution risk is significant—analysts note TSMC's comparable Arizona facilities have cost far more and require longer timelines—but the demand signal is constructive for IOWN's semiconductor exposure (LRCX, TSM, NVDA, NXPI, AMD). **Simplicity Over Complexity.**

5. China's rare earth restrictions continue to pressure defense supply chains independently of the de-escalation trade. A Chinese publication claimed US defense contractors may have only months of rare earth stockpiles remaining. LMT fell 1.78% on Monday despite the broader rally—a notable divergence that may reflect the rare earth overhang more than any de-escalation discount. GD (+0.46%) held up better, consistent with its more diversified program exposure. The Xi-Trump summit expected later this month could address supply chain relief, though analysts caution that building alternative rare earth capacity could take years. Monitor the defense sleeve for signs that supply-chain concerns are overshadowing the geopolitical premium.

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